# Kela Defense Systems Ltd.

## General Terms and Conditions of Purchase

(September 2026, V1.0)

These General Terms and Conditions of Purchase (these "**GTC**") apply to, and govern, each purchase order (an "**Order**" or "**PO**") issued by **Kela Defense Systems Ltd.**, of Ben Avigdor 19, Tel Aviv, Israel ("**Kela**" or "**Buyer**"), to the supplier identified in the Order ("**Supplier**"), for the purchase of products, systems, assemblies, sub-assemblies, components, spare or replacement parts, hardware, software, firmware, documentation, Deliverables, reports, and related services or work products, including all updates, upgrades, modifications, patches and replacements thereof (collectively, the "**Products**"). These GTC, the face of the Order, any special terms and conditions or rider attached to or referenced in the Order ("**Special Terms**"), any annexes referenced therein, and any specifications, drawings, acceptance tests and criteria, tests procedures and requirements specifically referenced in or attached to the Order, together constitute the entire agreement between Kela and Supplier with respect to such Order (the "**Agreement**").

### 1. APPLICABILITY; ORDER OF PRECEDENCE

**1.1** In the event of any conflict, ambiguity or inconsistency between the documents forming the Agreement, the following order of precedence shall apply (highest first): (a) the Special Terms; (b) the face of the Order; (c) these GTC; and (d) any Supplier quotation, proposal or other Supplier document, solely to the extent expressly incorporated by reference in the Order.

**1.2** Any pre-printed, standard, linked, embedded or referenced terms and conditions of Supplier (including any terms attached to or referenced in a quotation, proposal, order confirmation, invoice, delivery note, website or any similar instrument) are hereby expressly rejected and shall of no force or effect. Such Supplier terms shall not apply notwithstanding Kela's receipt, review, silence, payment, acceptance of delivery, use, testing of any Product, whether or not Kela expressly objects to them, unless and to the extent expressly accepted by Kela in a writing signed by an authorized representative of Kela. Supplier's acceptance of an Order, commencement of performance, shipment or delivery shall constitute Supplier's acceptance of the Agreement.

**1.3** No amendment, supplement, modification, waiver, release or other variation of the Agreement shall be valid or binding, unless made in writing and signed by authorized representatives of both parties.

### 2. ORDERS; FORECASTS; CHANGES

**2.1** Each Order shall become binding upon Supplier on the earliest of: (a) Supplier's written acceptance; (b) Supplier's commencement of performance, procurement, manufacture or shipment; or (c) the lapse of five (5) business days from Supplier's receipt of the Order without Supplier's written rejection stating with reasonable specificity the grounds for rejection. Kela may revoke, suspend or amend any Order at any time before it becomes binding under this Section, without liability.

**2.2** Kela shall have no purchase commitment of any kind except as expressly stated in a duly issued Order. Forecasts, framework quantities, budgetary amounts or "bucket" figures communicated by Kela are non-binding planning estimates only, and shall not create any minimum-purchase obligation, exclusivity, take-or-pay obligation, true-up, reservation commitment, fee or surcharge. Supplier shall not procure materials, reserve capacity, incur costs or make commitments in reliance on any forecast or similar communication except to the extent expressly authorized in a binding Order or the Special Terms.

**2.3** The consideration payable to Supplier under each Order shall constitute the full, exhaustive, and final consideration to which Supplier is entitled in connection with such Order, and Kela shall have no obligation to pay or reimburse Supplier for any additional cost, expense, fee, charge or other amount in connection with such Order, unless such Order is changed pursuant to Section 2.4 below.

**2.4** Kela may request changes to quantities, delivery dates, destinations, packaging, shipping methods of an Order. Supplier shall promptly, and in any event within five (5) business days after receipt of such request, provide Kela with a written statement of the reasonable documented effect, if any, of the requested change on price and schedule of an Order, and shall continue performance and, if so directed by Kela, implement the change pending final resolution of any adjustment. No adjustment shall be effective unless approved in writing by Kela. Any equitable adjustment shall be limited to Supplier's actual, direct, unavoidable and documented incremental costs or savings caused solely by the change, shall exclude profit on unperformed work, internal administrative costs, capacity reservation charges and costs that Supplier could reasonably mitigate, and shall not be available to the extent the change is required to correct Supplier's non-conformity, delay, defect or failure to comply with the Agreement.

### 3. DELIVERY; TITLE; RISK

**3.1** **Time is of the essence** with respect to Supplier's delivery obligations. Delivery shall be made in accordance with the delivery terms and dates set forth in the Order; if no delivery term is specified, delivery shall be DAP (Incoterms 2020) Kela's facility stated in the Order.

**3.2** Supplier shall notify Kela in writing immediately upon becoming aware of any actual or anticipated delay, shortage, allocation, quality issue, transport disruption or other circumstance that may affect timely or complete delivery. Such notice shall include the cause, expected duration, impact on other Orders, available inventory and a detailed remediation plan. Supplier shall provide written status updates as reasonably requested by Kela and shall, at its sole cost, use all commercially reasonable efforts to avoid or mitigate the delay, including by expediting production, reallocating inventory, using alternate transport and sourcing from approved alternate facilities or sub-suppliers where feasible. Such notice or mitigation efforts shall not relieve Supplier of responsibility for the delay.

**3.3** Without derogating from any other right or remedy of Kela (including liquidated damages where specified in the Special Terms), if any delivery is delayed by more than thirty (30) days beyond the agreed delivery date for reasons not attributable to Kela, Kela may, upon written notice and without liability: (i) cancel the Order (or any portion thereof); (ii) purchase substitute products or services from a third party, with Supplier bearing the reasonable documented excess cost of such substitution (including costs of expedited freights); and/or (iii) reschedule or reduce any following or related Orders.

**3.4** Early deliveries, partial deliveries and over-shipments require Kela's prior written consent; Kela, at its sole discretion, may reject, refuse, return or hold at Supplier's risk pending instructions any non-conforming shipments, in whole or in part, at Supplier's cost and risk. Kela shall have no obligation to pay for, store or ensure unauthorized quantities or deliveries, and no acceptance, use or payment with respect to all or part of a shipment shall constitute acceptance of the excess, early, partial or otherwise non-conforming portion.

**3.5** Title to, and risk of loss of or damage to, the Products shall pass to Kela only upon delivery in accordance with the applicable Incoterm without prejudice to any of Kela's other rights under the Agreement. Following payment of the price of the relevant

Products, Supplier shall have no lien, retention of title, security interest or similar right in or over such Products, and any such right shall automatically lapse and be released.

**3.6** Each shipment shall be accompanied by a packing list, and where applicable a certificate of conformance, test reports and all documentation specified in the Order. Products shall be packed, preserved, marked and labeled adequately for their nature, intended storage period and mode of transport and in accordance with the Agreement, applicable law and best industry practice. Any shipment missing required documentation or not properly packed or labeled may be rejected or treated as non-conforming at Supplier's cost and risk.

**3.7** Once Products are ready for shipment, Supplier shall provide Kela with a written notice of readiness for shipment sufficiently in advance to allow Kela up to fourteen (14) days from receipt of such notice to approve the shipment without affecting the agreed delivery date (a "**Readiness for Shipment Notice**"). The Readiness for Shipment Notice shall identify the applicable Order, the relevant Products, quantities, shipment date and material shipment details. Kela shall provide written approval of Supplier's Readiness for Shipment Notice within fourteen (14) days after receipt, and Supplier shall promptly thereafter dispatch the relevant Products in accordance with the Agreement and the applicable Order. Supplier's failure to timely provide the Readiness for Shipment Notice in accordance with this Section shall not shorten or otherwise adversely affect Kela's fourteen (14)-day review period.

## 4. INSPECTION; ACCEPTANCE

**4.1** Products shall be deemed accepted only following Kela's incoming inspection and Kela's express written confirmation of the successful completion of acceptance tests. Such acceptance tests shall be conducted within thirty (30) days after actual delivery (or such longer period as may be stated in the Special Terms) ("**Acceptance**"). The period for completion of the acceptance tests shall commence only upon complete delivery of conforming Products together with all required Documentation, certificates and other materials required under the Agreement, and shall recommence in full for any repaired, replaced or re-delivered Product. Neither taking delivery, storage, payment nor use of the Products in testing shall constitute Acceptance or a waiver of any right.

**4.2** Kela may reject any Products that do not conform to the Agreement, the agreed specifications, the Documentation or applicable law. Supplier shall, at Kela's election and at Supplier's sole cost (including shipping in both directions, insurance, removal, re-installation, re-testing and all related costs), promptly repair or replace rejected Products within fourteen (14) days, or refund all amounts paid for them. Such rejected Products may be returned to Supplier, stored for Supplier's account, or held pending Supplier's instructions, and if Supplier fails to repair, replace or refund within such period, Kela may procure substitute products or repair or replace the rejected Products itself or through a third party, and Supplier shall reimburse Kela for all reasonable documented costs and expenses thereby incurred, without prejudice to Kela's other rights and remedies under the Agreement or at law.

**4.3** Acceptance, payment, or failure by Kela to discover or notify any non-conformity, shall not affect Kela's rights and remedies with respect to latent defects, non-conformities not reasonably discoverable upon incoming inspection, Serial Defects (as defined below), shortages, over-shipments or breach of warranty. No contractual or statutory rule requiring Kela to inspect the Products within a particular time or to notify Supplier of any defect or non-conformity within a particular time shall apply except to the extent expressly stated in the Agreement.

**4.4** Without derogating from any of Kela's other rights or remedies under the Agreement or at law, if any Product fails inspection or acceptance testing more than two (2) times, Kela may finally reject the affected Products and exercise any remedies available under the Agreement or at law, including cancellation of the affected Order or portion thereof, cover, refund and recovery of direct costs. Any re-testing required due to Supplier's non-conformity shall be at Supplier's cost and shall not extend Supplier's delivery obligations unless Kela expressly agrees otherwise in writing.

## 5. PRICE; INVOICING; PAYMENT

**5.1** Prices stated in the Order are firm and fixed, in the currency stated in the Order, and include packaging, documentation and all costs of performance, but exclude VAT (which shall be added where applicable against a duly issued tax invoice). Supplier shall have no right to any price increase, surcharge, indexation, currency adjustment, inflation adjustment, raw-material adjustment, minimum-volume charge, cancellation fee, storage charge or other additional amount unless expressly approved in advance in writing by Kela in the Order or the Special Terms.

**5.2** Unless otherwise stated in the Order or the Special Terms, payment terms are net thirty (30) days from the end of the calendar month ("current + 30") in which the **latest** of the following occurs: (a) receipt by Kela of a correct, complete and undisputed invoice; (b) actual delivery of the Products in accordance with the Agreement; and (c) Acceptance pursuant to Section 4 (which Kela shall not unreasonably delay).

**5.3** Kela may set off, deduct, withhold or recoup from any amount due or becoming due to Kela from Supplier under the Agreement (including liquidated damages, warranty-related costs, indemnity amounts, and cover costs) against amounts payable to Supplier. If Kela disputes an invoice (or any portion thereof) in good faith, it may withhold payment of the disputed portion without interest, penalty, default or breach, while paying the undisputed portion when due and the parties shall promptly cooperate in good faith to resolve the disputed portion. For the avoidance of doubt, Payment by Kela shall not constitute acceptance of the Products, agreement that the invoiced amounts are correct, or a waiver of any right or remedy.

**5.4** Each party shall bear the taxes imposed on it by law. If Kela is required by applicable law to deduct or withhold tax from any payment, Kela may do so, shall remit such tax as required by law and shall provide Supplier with the applicable withholding certificates or other reasonable evidence of remittance. Any amount so withheld or deducted shall be treated as paid to Supplier for all purposes of the Agreement. Supplier shall provide Kela, in a timely manner, with any valid exemption certificates, residency certificates, forms, declarations or other documentation required to reduce or eliminate withholding, and the parties shall reasonably cooperate to obtain any available relief under applicable law, including under applicable tax treaties. Supplier shall be solely responsible for all taxes, duties, levies and similar impositions imposed on Supplier or its personnel in connection with the Agreement, except VAT properly chargeable on a valid invoice.

**5.5** Kela may withhold payment, in whole or in part, to the extent reasonably necessary to protect itself from any amounts for which Supplier may be liable to Kela, including in connection with non-conforming Products, late delivery, missing documentation, warranty claims, indemnity claims, compliance information or tax documentation. Any such withholding shall not relieve Supplier of its obligations hereunder and shall not entitle Supplier to suspend the performance of its obligations under the Agreement.

## 6. WARRANTY

**6.1** Supplier represents and warrants that all Products: (a) conform to the Agreement, the agreed specifications, drawings and Supplier's published documentation ("**Documentation**"); (b) are new, unused (unless otherwise expressly agreed in writing), authentic, of good

quality, merchantable, fit for their intended purpose, and free from counterfeit or suspected counterfeit items; (c) are free from defects in design (to the extent designed by Supplier), materials and workmanship, including defects arising from the interaction of the Products' hardware, firmware and software; (d) do not contain any virus, malware, malicious code, back door, disabling device or other harmful code; (e) are conveyed with good title, free and clear of any lien, security interest or encumbrance; and (f) comply with all applicable laws, regulations and standards specified in the Agreement.

**6.2** The warranty period for each Product shall be three (3) years from the date of delivery of such Product to Kela, or one (1) year from the date of installation of such Product on the applicable platform by Kela, whichever is earlier (the "**Warranty Period**").

**6.3** For any Product that fails to conform to the warranty during the Warranty Period, Supplier shall, within two (2) business days after Kela's notice, acknowledge the claim and commence corrective action and shall, at Kela's election and at Supplier's cost: repair the Product, replace it with a new conforming Product, or refund the full price paid. Unless otherwise agreed by Kela in writing, Supplier shall complete the applicable repair or replacement and return the Product in conforming condition within fifteen (15) business days after receipt of the affected Product or, where removal of the Product is not reasonably required, within fifteen (15) business days after notice of the failure. If the failure materially affects Kela's operations, integration activities or customer deliveries, Supplier shall also provide, at Kela's request and at Supplier's cost, a temporary workaround. Supplier's responsibility shall include all reasonable documented costs of diagnosis, field investigation, de-installation, re-installation, re-testing, shipping in both directions, duties and charges. If Supplier fails to perform the foregoing within the required time, Kela may do so itself or through a third party and Supplier shall promptly reimburse Kela for all reasonable documented costs and expenses thereby incurred, without prejudice to Kela's other rights and remedies.

**6.4** Repaired or replaced Products (or any parts thereof) shall be warranted for the remainder of the original Warranty Period or twelve (12) months from redelivery, whichever is longer. Any repaired or replaced Product shall remain subject to all other warranty obligations under the Agreement, including any Serial Defect or recall-related obligations.

**6.5** **Serial Defect.** If substantially the same defect, non-conformity, security vulnerability or failure mode (including any failure to meet the agreed specifications and any hardware-software failure) attributable to a substantially similar root cause occurs in five percent (5%) or more of the Products delivered in any rolling twelve (12)-month period or otherwise reasonably indicates a systemic issue affecting any lot, batch, revision, configuration or Product family during such twelve (12)-month period (a "**Serial Defect**"), Supplier shall, at its cost, promptly investigate and, in any event within ten (10) days after learning of such Serial Defect, provide Kela with a written root-cause analysis, a corrective action plan, and a preventive action plan acceptable to Kela, and shall promptly implement, at Supplier's sole cost and risk, all corrective action directed or approved by Kela, including field modification, recall, removal, retrofit, replacement, re-installation, re-testing and re-certification, for all affected Products (whether or not such Products have yet exhibited the defect), including removal, retrofit or replacement and re-installation. Without derogating from any of Kela's rights or remedies under the Agreement or at law, Supplier shall reimburse Kela for all reasonable documented costs and expenses arising from such Serial Defect, including logistics, field service, customer support and replacement handling costs.

**6.6** The warranty shall not be invalidated or reduced by Kela's or its customers' storage, handling, installation, integration, configuration, opening, software or firmware updating, modification or use of the Products in accordance with the Documentation or as otherwise agreed by the parties (including in the Special Terms). Warranty exclusions shall apply only to the extent Supplier demonstrates by clear and convincing evidence that the specific defect in question was solely and directly caused by Kela's or its customers' willful misuse, gross negligence or unauthorized modification, and then only with respect to the affected unit(s).

**6.7** It is clarified that expiration of the Warranty Period shall not relieve Supplier of responsibility for latent defects not reasonably discoverable during the Warranty Period, title defects, fraud, willful misconduct, any mandatory safety or regulatory corrective action, or any Serial Defect whose root cause existed during the Warranty Period even if first discovered afterward.

## 7. INTELLECTUAL PROPERTY

**7.1** Each party retains all right, title and interest in and to its background intellectual property. Supplier grants Kela a non-exclusive, irrevocable, worldwide, royalty-free (as included in the price) license, for the life of the relevant Products, to use, access, operate, execute, display, reproduce, configure, maintain, integrate, test, certify, repair, integrate, market, distribute and resell and otherwise exploit the Products, including any software and firmware embedded in or delivered with them, as part of or in connection with Kela's systems and platforms, and to sublicense such rights through multiple tiers to Kela's affiliates, contractors, service providers, customers and end users, solely as required for the exercise of the rights granted under this Section.

7.2 Supplier shall defend, indemnify and hold harmless Kela, its affiliates, subsidiaries, parent companies, directors, officers, employees, agents, contractors, subcontractors, service providers, successors, assigns and its customers and end users (collectively, the "**Indemnitees**") from and against any and all third-party claims, demands, suits, actions, proceedings, investigations, damages, losses, liabilities, judgments, fines, penalties, costs and expenses, including reasonable attorneys' fees and expenses, expert fees, and costs of investigation and litigation (collectively, "**Claim**"), arising out of or relating to, directly or indirectly: (a) the Products and/or Deliverables, or their design, manufacture, marketing, sale, distribution, possession, use, operation, integration, maintenance, support or other exploitation; (b) any actual or alleged infringement, misappropriation or other violation of any intellectual property right, trade secret, proprietary right, privacy right or other right of any third party; (c) any actual or alleged defect, non-conformity, failure or hazard in the Products or Deliverables; or (d) any breach of Supplier's representations, warranties or obligations under the Agreement. Upon receiving notice of any Claim, Supplier shall immediately: (i) assume sole control of the defense and settlement of such Claim at its own cost and expense; provided, however, that Supplier shall not settle, compromise or consent to any judgment in any such Claim without Kela's prior written consent (not to be unreasonably withheld) if the settlement or judgment (A) imposes any liability, obligation, restriction, injunction or admission of wrongdoing on any of the Indemnitees, (B) does not include a complete and unconditional release of all Indemnitees, or (C) involves any remedy other than the payment of money by Supplier; (ii) keep Kela reasonably informed of the status of such Claim and provide copies of all material pleadings and correspondence; and (iii) reasonably cooperate with Kela in the defense. Kela may participate in the defense of any Claim with counsel of its own choosing at Supplier's expense if Supplier fails to diligently defend or if Kela reasonably determines that a conflict of interest exists. Kela may, at its sole discretion and at any time, assume control of the defense and settlement of any Claim upon written notice to Supplier; provided, however, that Kela shall not settle any such Claim without Supplier's consent (not to be unreasonably withheld or delayed) if such settlement imposes any monetary liability on Supplier that is not fully covered by insurance or indemnity. If any Product or Deliverable is, or in Kela's reasonable opinion is likely to become,

subject to a Claim of infringement, Supplier shall, at its sole cost and at Kela's option and sole satisfaction, promptly: (x) procure for Kela and all Indemnitees the perpetual, irrevocable right to continue using, marketing, distributing and exploiting such affected Product or Deliverable; (y) replace or modify such Product or Deliverable so that it becomes non-infringing without any degradation of form, fit, function, performance, features, reliability, security, regulatory compliance or interoperability; or (z) if neither (x) nor (y) is commercially practicable, upon Kela's request, accept return of the affected Products and refund to Kela all amounts paid therefor, together with all reasonable costs and expenses incurred by Kela, including integration, removal, de-installation, replacement rollout, re-installation, re-testing, re-certification, re-qualification, field corrective action, recall, customer notification, regulatory notification, business interruption and cover costs. The remedies in this Section are cumulative and in addition to any other remedies available to Kela at law or in equity.

7.3 Notwithstanding anything to the contrary, any deliverables, work products, developments, adaptations, customizations, configurations, designs, drawings, tooling, reports, test results, documentation, software, firmware, source code, models, specifications, data, inventions, discoveries, know-how or other results developed, conceived, authored, created, generated or reduced to practice by or on behalf of Supplier specifically for Kela under or in connection with an Order (including non-recurring engineering) and any modifications, derivative works, improvements or updates thereto (collectively, "**Deliverables**"), and all intellectual property rights therein, shall be the sole and exclusive property of Kela, and are hereby irrevocably assigned, transferred and conveyed to Kela upon their creation without additional consideration. Supplier shall execute such documents and provide such assistance as reasonably required to perfect, register, maintain, enforce or defend Kela's rights therein. To the extent any Supplier background intellectual property is embedded in, combined with, or required for the use, maintenance, support or other exploitation of any Deliverable, Supplier hereby grants Kela and its affiliates, contractors, service providers, customers and end users, a non-exclusive, irrevocable, perpetual, worldwide, royalty-free, transferable, sublicensable through multiple tiers license to use, integrate, maintain, support, market, distribute, resell and otherwise exploit such background intellectual property as part of or in connection with the Deliverables and the Products. To the extent permitted by applicable law, Supplier hereby waives, and shall cause its personnel and subcontractors to waive, any moral rights or similar rights in the Deliverables.

7.4 Any feedback, suggestions, improvements, ideas, discoveries or know-how provided by Supplier or its personnel with respect to Kela's products, systems, platforms or technology, and all intellectual property rights therein, shall be the sole and exclusive property of Kela, and are hereby irrevocably assigned, transferred and conveyed to Kela, without any obligation, restriction or compensation; Supplier shall have no right to use, exploit or disclose the same other than as necessary for the performance of the Agreement for Kela's benefit.

## 8. CONFIDENTIALITY; PUBLICITY

**8.1** Each party shall keep confidential, and use solely for the performance of the Agreement, all information disclosed or otherwise made available by the other party in connection with the Agreement including, but not limited to, any technical data, platform information, end-customer identity, specifications, drawings, test data, program information, Deliverables and all other non-public information relating to Kela's systems, products or customers (the "**Confidential Information**"), whether in oral, written, electronic or other form, and whether or not marked as confidential; provided, however, that Supplier shall protect Kela's Confidential Information using the highest degree of care and in any event no less than the degree of care Supplier uses to protect its own most sensitive Confidential Information. The confidentiality obligations set forth in this section shall not apply to any information that (a) is or becomes generally available to the public without breach of any obligation owed to the disclosing party, (b) was in the rightful possession or known by the receiving party prior to receipt from the disclosing party without breach of any obligation owed to the disclosing party, (c) was rightfully disclosed to the receiving party by a third party without breach of any obligation owed to the disclosing party, or (d) was independently developed without use of any Confidential Information of the disclosing party. Supplier may disclose Kela's Confidential Information only to its employees, subcontractors and to any other person as may be approved by Kela in advance and in writing, who have a strict need-to-know for the performance of the Agreement and who are bound by written confidentiality and restricted-use obligations, at least as protective as those set forth herein. Supplier shall not copy, reproduce, analyze, reverse engineer, benchmark, publish, transfer or otherwise use Kela's Confidential Information except to the minimum extent strictly necessary to perform the Agreement. The confidentiality obligations under this Section shall continue indefinitely.

**8.2** Supplier shall not use Kela's (or any of its customers') name, logo or the existence or contents of the Agreement in any publicity, marketing, investor or other public communication without Kela's prior written consent. If disclosure is required by law, regulation or stock-exchange rules, the Supplier shall, to the extent legally permitted, give Kela prior written notice and shall consult with Kela regarding the timing and content of the disclosure, disclose only the minimum information legally required, seek and use its best efforts to obtain confidential treatment and redaction of commercial terms to the maximum extent available.

**8.3** Supplier shall implement and maintain administrative, technical and physical safeguards appropriate to the sensitivity of Kela's Confidential Information and any applicable security, export-control or customer requirements, including access controls on a strict need-to-know basis, secure storage, encryption where appropriate, and secure disposal procedures. Supplier shall notify Kela in writing immediately, and in any event within twenty-four (24) hours after becoming aware, of any actual or reasonably suspected unauthorized access, use, disclosure, transfer, loss or compromise of Kela's Confidential Information, and shall promptly investigate, contain, remediate and fully cooperate with Kela in relation thereto.

**8.4** Upon Kela's request and in any event upon completion, cancellation or termination of the relevant Order or the Agreement, Supplier shall promptly return or securely destroy all Kela Confidential Information, including all copies, extracts, notes and materials containing or reflecting it, except to the limited extent retention is required by applicable law, and shall certify such return or destruction in writing upon Kela's request. Any retained information shall remain subject to the Agreement for so long as retained and shall not be accessed except for the purpose of complying with the applicable legal retention requirement.

## 9. INDEMNITY; INSURANCE

**9.1** Supplier shall defend, indemnify and hold harmless Kela and the Indemnitees from and against any and all Claims arising out of or relating to, directly or indirectly: (a) any defect, non-conformity, failure, malfunction or hazard in the Products or Deliverables, whether or not caused by Supplier's fault; (b) any death, bodily injury, illness or damage to property arising out of or in connection with the Products, Deliverables or Supplier's performance; (c) any negligence, willful misconduct, fraud or criminal act of Supplier or any of its personnel; (d) any breach by Supplier of any representation, warranty, covenant or obligation under the Agreement; (e) any failure by Supplier to comply with applicable laws, regulations, permits, standards or industry codes; (f) any

claim by Supplier's personnel, agents or subcontractors, including claims relating to employment, compensation, benefits or working conditions; or (g) any product recall, field corrective action, safety alert or regulatory action relating to the Products. This Section 9.1 is in addition to, and does not limit, Supplier's separate intellectual property indemnity obligations under Section 7.2. The definition of "Claim" and the defense, participation, assumption-of-control and settlement provisions of Section 7.2 shall apply mutatis mutandis to all Claims under this Section 9.1 and shall not limit Supplier's obligations under either Section 7.2 or this Section 9.1. The remedies in this Section are cumulative and in addition to any other remedies available to Kela at law or in equity.

**9.2** Supplier shall maintain, with reputable insurers, insurance coverage appropriate to its obligations under the Agreement (including product liability insurance), and shall provide certificates of insurance upon Kela's reasonable request.

**9.3** Before commencement of performance, shipment or access to Kela's premises or systems, and thereafter upon renewal or upon Kela's reasonable request, Supplier shall provide Kela with certificates of insurance to Kela's satisfaction, which shall include at least the following insurance coverage: (a) commercial general liability insurance with limits of not less than US$2,000,000 per occurrence and US$5,000,000 in the aggregate; (b) professional liability (errors and omissions) insurance with limits of not less than US$2,000,000 per claim and US$5,000,000 in the aggregate; (c) workers' compensation insurance as required by Applicable Laws; and (d) cyber liability insurance with limits of not less than US$1,000,000 per occurrence. Supplier shall provide Kela with at least thirty (30) days' prior written notice of any cancellation, non-renewal or material reduction in required coverage, except where a shorter period is mandated by the insurer, in which case Supplier shall notify Kela promptly upon learning thereof. Supplier's maintenance of insurance, Kela's review or failure to review any certificate, or any approval by Kela shall not limit Supplier's liability or relieve Supplier of any obligation under the Agreement. If Supplier fails to maintain required insurance or provide evidence of it, Kela may withhold payment, procure such coverage at Supplier's expense, or terminate the affected Order for cause, without prejudice to its other rights and remedies under the Agreement or at law.

## 10. LIMITATION OF LIABILITY

**10.1** Except with respect to Excluded Claims (defined below), neither party shall be liable for indirect, consequential, special or punitive damages, or for loss of profit or loss of business. "**Excluded Claims**" means: (a) breach of confidentiality (Section 8); (b) Supplier's indemnification obligations (Sections 7.2 and 9.1); (c) Serial Defect and recall obligations (Section 6.5); (d) infringement or misappropriation of intellectual property; (e) gross negligence or willful misconduct; and (f) death or bodily injury.

**10.2** Except with respect to Excluded Claims (for which no cap shall apply), each party's aggregate liability under or in connection with an Order shall not exceed two (2) times the amounts paid or payable under such Order; provided that nothing in this Section shall limit Kela's payment obligations for Products duly delivered and accepted, or Kela's rights to a refund, re-performance or cover.

## 11. COMPLIANCE; EXPORT CONTROL

**11.1** Supplier shall comply, and shall ensure that its employees, personnel, subcontractors, and anyone acting on its behalf comply, with all applicable laws and regulations, including anti-bribery and anti-corruption laws (including the Israeli Penal Law, the U.S. FCPA and the UK Bribery Act), labor and safety laws, and applicable export and trade control laws. Supplier represents and warrants that neither Supplier nor, to the best of Supplier's knowledge after reasonable inquiry, any person acting on its behalf in connection with the Agreement is included on any denied, debarred, blocked, sanctioned or restricted-party list maintained by any applicable governmental authority, and Supplier shall immediately notify Kela in writing if it or any such person becomes subject to any investigation, suspension, debarment, sanctions designation or similar regulatory restriction that could affect performance under the Agreement.

**11.2** Supplier shall provide Kela, promptly upon request, with export classification information (including ECCN or equivalent), country-of-origin declarations, and any information or reasonable assistance required for Kela's compliance with applicable trade control laws and Israeli defense regulatory requirements (including, where applicable, the Israeli Defense Export Control Agency and the Israeli Ministry of Defense). Supplier shall obtain and maintain, at its sole cost and expense, all export, transfer and other governmental licenses, permits, approvals and authorizations required for Supplier's performance and for the lawful supply of the Products to Kela. Supplier shall immediately notify Kela in writing of any license condition, classification change, sourcing restriction, regulatory limitation, country restriction, investigation, seizure, audit finding, suspected violation or other compliance issue applicable to the Products or Supplier's ability to perform under the Agreement of which it becomes aware and shall fully cooperate with Kela in addressing the impact thereof. Supplier shall be solely responsible for the accuracy and validity of all export-related, customs-related and origin-related information and documents it provides.

**11.3** Supplier shall, upon Kela's request, promptly complete compliance questionnaires, certifications, representations and any undertakings reasonably required by Kela or its customers in connection with anti-corruption, sanctions, export control, customs, conflict minerals, counterfeit parts prevention, cybersecurity, safety, environmental compliance or similar regulatory or customer-mandated requirements. Supplier shall maintain complete and accurate records relating to its compliance with this Section for at least five (5) years after the later of final delivery or termination of the relevant Order, and shall provide Kela with reasonable supporting documentation or access to such records upon reasonable request to verify compliance.

## 12. TERMINATION

**12.1** Kela may terminate an Order, in whole or in part, for cause upon written notice if the Supplier (i) materially breaches the Agreement and fails to cure such breach within fourteen (14) days of written notice, or (ii) commits a breach that by its nature is not capable of cure, including any breach of confidentiality, data security, export-control, sanctions, anti-bribery or other material compliance obligation; or (iii) repeatedly fails to meet delivery dates, quality requirements or other material obligations under the Agreement, whether or not any individual failure alone constitutes a material breach; or (iv) becomes insolvent, admits its inability to pay its debts as they fall due, makes a general assignment for the benefit of creditors, enters liquidation, receivership, administration or any analogous proceeding, or if any such proceeding is instituted against Supplier and is not dismissed within sixty (60) days. Termination for cause shall be without prejudice to any other rights or remedies available to Kela under the Agreement or at law.

**12.2** Kela may terminate any Order, in whole or in part, for convenience upon thirty (30) days' written notice. Supplier shall immediately stop work relating to any terminated portion except as otherwise directed by Kela, place no further purchase commitments except as expressly authorized in writing by Kela, and take all required steps to mitigate, cancel or reallocate costs and commitments. Kela's sole liability in connection with such termination shall be limited to: (a) payment for Products fully delivered and accepted prior to the effective date of termination; and (b) Supplier's actual, direct, documented and unavoidable work-in-progress costs and non-cancelable third-party

commitments reasonably incurred for the terminated portion which Supplier cannot reasonably mitigate, cancel, reallocate, use for other customers or otherwise recover such amounts; and Supplier shall have no claim for lost profit or overhead on the terminated portion.

**12.3** Upon termination Supplier shall promptly provide all reasonably requested transition assistance and shall assign or cause to be assigned to Kela, to the extent permitted, the benefit of any transferable rights, warranties and licenses relating to the terminated portion.

**12.4** Termination or expiration of the Agreement or any Order shall be without prejudice to any rights, remedies or obligations accrued prior to the effective date thereof. Supplier shall promptly refund any amounts paid by Kela for Products, work, materials or services not duly delivered and accepted or not otherwise payable under Section 12.2. Provisions which by their nature are intended to survive (including warranty, indemnity, confidentiality, intellectual property, limitation of liability, compliance, payment, refund and dispute resolution obligations, governing law) shall survive expiration or termination.

## 13. GENERAL

**13.1 Assignment; Subcontracting.** Supplier shall not assign, delegate, novate or otherwise transfer the Agreement or any of its rights or obligations, nor subcontract any portions of its performance that may affect the Products, quality, security, compliance, or delivery, without Kela's prior written consent. Any purported assignment, delegation, transfer or subcontracting in violation of the foregoing shall be null and void. Kela may assign or transfer the Agreement, in whole or in part, without Supplier's prior consent, to any affiliate or in connection with a merger, acquisition, reorganization, sale, or otherwise, upon written notice to Supplier. Supplier shall remain fully liable for the acts and omissions of its subcontractors and suppliers and shall ensure that each approved subcontractor is bound by written obligations no less protective of Kela than the Agreement, including with respect to confidentiality, intellectual property, quality, security and compliance. For purposes of this Section 13.1, any change of control of Supplier, whether by merger, acquisition, sale or transfer of equity interests, sale of all or substantially all of its assets, reorganization, or otherwise, shall be deemed an assignment or transfer of the Agreement requiring Kela's prior written consent, which may be withheld in Kela's sole discretion. Supplier shall provide Kela with at least thirty (30) days' prior written notice of any proposed change of control. Any purported change of control effected without Kela's prior written consent shall be null and void as against Kela, shall constitute a material breach of the Agreement, and shall entitle Kela, in addition to any other rights and remedies available under the Agreement or at law, to terminate the Agreement or any affected Order immediately upon written notice.

**13.2 Independent Contractors.** The parties are independent contractors; nothing in the Agreement creates any employment, agency, partnership, joint venture, fiduciary or similar relationship between them. Supplier shall have no authority to bind Kela, make representations on Kela's behalf, or incur any obligation in Kela's name unless expressly authorized by Kela in writing. Supplier shall be solely responsible for its personnel, subcontractors and suppliers and for all compensation, taxes, withholdings, benefits, insurance, permits and other obligations relating to them.

**13.3 Points of Contact; Notices.** Each party shall designate in the Order (or promptly thereafter) a single authorized point of contact for the management of the Order, through whom all material communications, contract comments and change requests shall be channeled. Formal notices shall be in writing and delivered in person, by courier, by registered mail or by e-mail (with confirmation of receipt) to the addresses set forth in the Order or otherwise designated by written notice.

**13.4 Waiver; Severability.** No failure or delay by Kela in exercising any right, power or remedy shall operate as a waiver thereof, and no single or partial exercise of any right, power or remedy shall preclude any other or further exercise thereof or the exercise of any other right, power or remedy. Any waiver by Kela shall be effective only if expressly made in a writing signed by an authorized representative of Kela. The rights and remedies of Kela under the Agreement are cumulative and in addition to any rights and remedies available at law or in equity. If any provision of the Agreement is held invalid or unenforceable, the remaining provisions shall remain in full force, and the invalid provision shall be modified to the minimum extent necessary to make it valid and enforceable while preserving its intent and economic effect as closely as possible.

**13.5 Entire Agreement; Language.** The Agreement constitutes the entire agreement between the parties with respect to its subject matter and supersedes all prior understandings, negotiations, discussions, communications and agreements, whether oral or written, relating thereto. The governing language of the Agreement is English.

**13.6 Governing Law; Jurisdiction.** The Agreement shall be governed by the laws of the State of Israel, without regard to conflict-of-law rules, and excluding the UN Convention on Contracts for the International Sale of Goods. The competent courts of Tel Aviv-Jaffa, Israel shall have exclusive jurisdiction over any dispute arising out of or in connection with the Agreement, provided that either party may seek interim or injunctive relief in any court of competent jurisdiction. Pending final resolution of any dispute which may arise, Supplier shall continue performance of the Agreement and any affected Order unless Kela instructs otherwise in writing.